When stock markets stagnate

Emerging markets, Trinidad and Tobago, and the risk of institutional selling

Economic research | Shane Dante Bideshi | 22 September 2026

Executive assessment

A stock market can decline for years while parts of its economy expand. Share prices reflect the profits available to existing shareholders, the valuation investors place on those profits, and the availability of buyers. GDP measures something different. Persistent market weakness becomes economically damaging when it raises the cost of capital, weakens retirement funding, discourages investment, or forces institutions to sell into an already thin market.

For Trinidad and Tobago, the strongest concern is the mismatch between large institutional portfolios and a small pool of transactions. **A modest reallocation by one major holder could be large relative to normal trading.** That is a structural vulnerability, not proof of an imminent financial crisis.

NIBTT's cash needs must be assessed after the contribution reforms taking effect in 2026. Its latest verified accounts predate those reforms. Private occupational pension funds also have different cash flows and funding positions; they cannot be treated as a single distressed seller.

Judgment: continued illiquidity and occasional sharp repricing are credible risks. A broader liquidity crisis is conditional on simultaneous urgent selling, inadequate alternative cash sources, and insufficient buyers even at discounted prices. Public information does not establish that combination today.

Question	Finding
Does a weak stock market prove a weak economy?	No. It is a warning signal whose causes need to be separated.
Can economic conditions outweigh company performance?	Yes, particularly through interest rates, currency risk and required returns; company cash generation still matters.
Are insurers and pensions doing most of the buying?	They are important owners. The reviewed disclosures do not establish their share of current purchases or net buying.
Who buys if institutions sell?	Other investors with cash, mandate capacity and an acceptable price. The exchange itself supplies no guaranteed buyer.
Is NIB's deficit enough to predict a crisis?	No. The relevant test is the residual cash need that must be met specifically through domestic equity sales.

Scope and evidence: research completed 22 September 2026; latest verified daily TTSE snapshot 21 September 2026. Full-year trading baseline: 2025. NIBTT accounts: year ended 30 June 2025. Sector pension and insurance baseline: December 2024. These dates are deliberately not presented as simultaneous observations. Sources and calculation conventions appear at the end.

1. Weak stock prices and the economy

Start by identifying what is actually stagnant

Four measurements can tell different stories: the nominal share-price index, total return including dividends, inflation-adjusted total return, and return translated into a foreign currency. A flat price index is not a zero investment return. Conversely, rising nominal prices can conceal falling purchasing power or losses in US dollars. Thin trading adds another complication: an unchanged closing price may simply mean that no meaningful transaction occurred.

Illustration, not market data: a share priced at $100 for ten years that distributes $5 annually produces $50 of cash dividends before tax and costs. With reinvestment at an unchanged price, the nominal gain is about 62.9%. If consumer prices rise 3% annually, the price alone loses about 25.6% of its purchasing power. These are different answers to the same word, "stagnant".

Weak markets can indicate falling expected earnings, excessive starting valuations unwinding, higher interest rates, greater political or currency risk, poor minority-shareholder protection, or a shrinking buyer base. Often several operate together. Only some necessarily imply lower current production or employment.

Emerging-market evidence: GDP is an unreliable shortcut

Hsu, Ritter, Wool and Zhao's 2022 study found no reliable cross-country relationship between faster GDP growth and better stock returns. In its shorter, 15-market sample, the correlation of real equity returns with real per-capita GDP growth was 0.27, compared with 0.54 for real earnings-per-share growth. These are historical associations, not causal estimates or a forecasting rule. [1]

Historical example	Sample	Annual real equity return	Annual real GDP per capita growth
Argentina	1996-2019	-1.5%	1.0%
Jordan	1996-2019	-1.2%	0.8%
Philippines	1996-2019	0.7%	3.2%
Thailand	1996-2019	0.8%	2.6%

Source: [1], Exhibit 3. Local-currency real returns; historical research sample, not current classifications or current market forecasts.

How weakness can feed back into the economy

Channel	Economic consequence if persistent
Expensive equity financing	A company must surrender more ownership to raise the same money; viable expansion may be deferred.
Household and retirement wealth	Lower asset values can reduce spending or require higher retirement saving.
Pension funding	Employers may need to increase contributions, reducing money available for wages or investment.
Collateral and institutional capital	Falling valuations can restrict credit or increase pressure to rebalance portfolios.
Weak price discovery	Capital is less effectively directed toward productive firms.

The impact depends on reliance on listed equity. Bank finance, retained earnings and foreign direct investment can sustain activity despite a weak exchange. Financial-development research emphasises functioning intermediation over the index level itself. [2, 3]

2. Does the economy control prices more than the company?

Neither factor acts independently. Economic conditions affect the cash a company can earn and the return investors require to own it. Company-specific decisions determine how well it performs within those conditions. Prices also respond to surprises relative to expectations, rather than simply rewarding a good reported result.

For a profitable company, a useful accounting identity is:

Share price = earnings per share x price/earnings multiple.

Illustration: earnings per share rise from $5.00 to $5.25, but the multiple falls from 20 to 12. The price falls from $100 to $63, a 37% decline despite 5% earnings growth. The multiple might fall because interest rates, perceived risk or the compensation required for illiquidity rise. Alternatively, the initial valuation may simply have been too optimistic. Dividends would modify the investor's total return.

Driver	How it reaches the share price
Domestic demand and employment	Change sales volumes, credit losses and customers' ability to pay.
Currency and access to foreign exchange	Affect imported costs, foreign debt and dividend repatriation; exporters and importers can react differently.
Interest rates and government borrowing	Change financing costs and the attractiveness of bonds relative to equities.
Governance and shareholder rights	Determine how much business value minority investors can actually receive.
Investor flows and market depth	Determine the price at which an investor can transact now.
Management, competition and capital allocation	Determine margins, sustainable per-share growth and future distributions.

Morck, Yeung and Yu found greater stock-price co-movement in poorer economies in their historical sample, with investor protection helping explain the difference. This supports examining market-wide forces and information quality. It does **not** show that a fixed percentage of Trinidad's stock prices is determined by GDP, or that firm fundamentals cease to matter. [4]

A local counterexample to the simple economic story

Republic Financial Holdings reported a 9.8% increase in profit attributable to shareholders for FY2025 and a higher annual dividend of TT$6.00 per share. Company earnings can therefore improve during a weak overall market. A multinational group's earnings also reflect activity outside Trinidad. This example does not identify the cause of its share-price movements or establish that the stock is undervalued. [5]

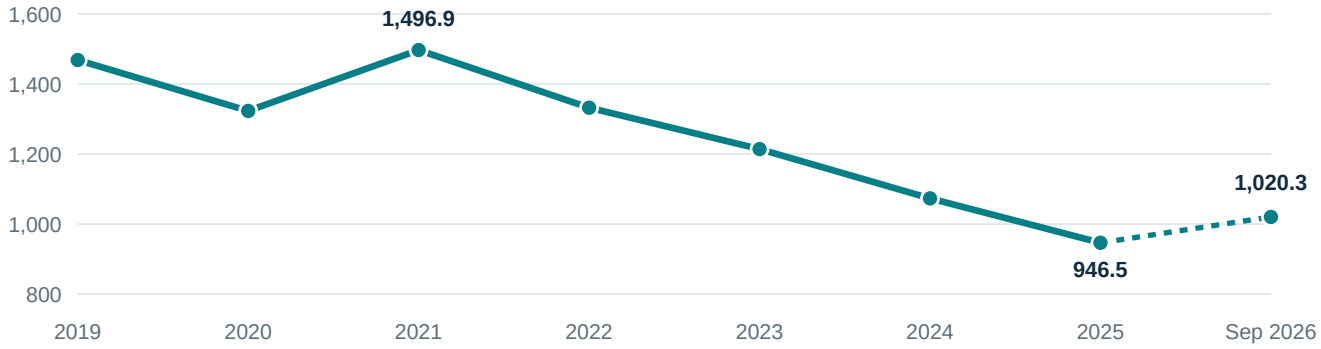
In a thin market, a strong business can remain inexpensive for a long time because potential investors care about their eventual exit. Conversely, a price can remain high because almost nobody trades. **Business quality, investment value and ease of sale are separate questions.**

To estimate which forces dominate locally would require a panel of adjusted security returns, earnings, dividends, rates, FX conditions, trading depth and investor flows. Non-trading days and delayed price adjustment would need explicit treatment. This report does not invent a statistical attribution from annual index movements.

3. Trinidad's market: a prolonged decline, then a recovery

Trinidad and Tobago is examined here as a small domestic equity market with institutional concentration and limited trading. The report does not imply that it is a constituent of a particular global emerging-market index.

Composite price index | year ends and latest observation



Period end	Composite price index	First Tier traded value, TT$ million
2019	1,468.4	1,102.3
2020	1,323.1	1,042.9
2021	1,496.9	1,314.7
2022	1,332.2	1,706.9
2023	1,214.1	1,092.8
2024	1,073.23	840.765
2025	946.46	994.059
21 September 2026	1,020.30	Daily snapshot only; not an annual observation

Sources: [6-8]. Values through 2023 are rounded as published by the Ministry of Finance; 2024-25 use TTSE's annual report. The index excludes dividends. Ordinary trading excludes put-through transactions.

Calculated: the Composite fell approximately 36.8% between end-2021 and end-2025. By 21 September 2026 it had recovered 7.8% from end-2025, while remaining 31.8% below end-2021. It would therefore be inaccurate to describe the market as still falling uninterrupted throughout 2026.

The macroeconomic picture also requires attention to publication dates. The CSO's 29 July 2026 release reported real GDP declining 0.5% in 2025. This is newer than the IMF's May 2026 estimate of 0.8% growth for that year. The newer domestic release is used here; the estimates are not averaged. [9, 10]

Interpretation: local economic weakness is relevant, but it is not a complete explanation for index performance. The exchange includes regional businesses, and it does not replicate the economy's sector weights. Index changes also reflect valuations, listings and the composition of companies. A fall in market capitalisation is a reduction in the market value of claims, not an equivalent subtraction from GDP or bank deposits.

4. How liquid is the Trinidad and Tobago Stock Exchange?

Liquidity means the ability to transact a meaningful amount promptly, at a reasonable cost and without a large price concession. Market capitalisation measures valuation; it does not measure cash waiting to buy shares.

2025 First Tier measure	Observation or calculation
Annual ordinary traded value	TT$994.059 million
Year-end capitalisation	Approximately TT$91.87 billion
Traded value / year-end capitalisation	Approximately 1.08%
Mean daily traded value, using 245 sessions	Approximately TT$4.06 million
RFHL plus Massy share of traded value	Approximately 50.5%

Source: [7], pp. 25-27; ratios calculated. The 1.08% measure is a simple value-based proxy, not the exchange's official float-adjusted turnover measure.

Trading recovered in 2025 from 2024, but remained small relative to the market's valuation. Concentration matters: an investor holding an illiquid small company cannot access the trading capacity of the entire exchange merely because that exchange has an aggregate daily turnover figure.

The TTSE's December 2025 Market Movement Report gives a different, float-adjusted share-turnover measure of 3.38% over the rolling year. At 31 December, reported bid-ask spreads ranged from 0.02% for Scotiabank to 13.04% for PLIPDECO and 17.54% for L.J. Williams B. These are dated snapshots, not current executable quotations. A narrow spread also says nothing about how many shares can be sold at that price. [11]

Large negotiated transactions matter

The annual report separately records TT$313.538 million of put-through value and excludes a further TT$235.47 million of special-case put-throughs from that line. Adding these to TT$998.046 million of ordinary activity across the reported TTD equity/fund markets gives about **TT$1.547 billion** of broader recorded activity. This is a wider universe than First Tier ordinary trading. [7]

That broader figure should not be ignored. It shows that transactions can occur outside the normal trading flow. It also should not be treated as repeatable buying capacity: negotiated transfers can have special circumstances and may not represent fresh, arm's-length demand available to any seller. Both denominators are used in the stress discussion.

A one-day illustration: the 21 September 2026 First Tier summary recorded TT$881,567 in traded value across 102 trades. It demonstrates that a particular day's available activity can be much smaller than the annual daily average; it is not used to estimate annual capacity. [8]

5. Who owns the shares, and who is doing the buying?

The evidence establishes important institutional ownership, but does not rank current net buyers. Public shareholder registers are stocks of ownership. Purchases and sales over a period are flows. Neither the size of an institution nor its assets under management establishes its share of new equity purchases.

Issuer and observation date	Selected disclosed registered holders
Massy, 30 June 2026	NIBTT 20.01%; T&T Unit Trust Corporation 3.47%; Guardian Life 3.13%; Barbados NIB 2.83%.
RFHL, 30 September 2025	National Investment Fund Holding Company 29.92%; NIB 18.81%; T&T Unit Trust Corporation 2.76%; Guardian Life 1.69%; Tatil Life 1.19%.

Sources: [12, 13]. Selected holders, not an exhaustive market ownership census. Barbados NIB is a different institution from NIBTT. NIF is also distinct from NIBTT.

Trust companies, nominee services and depository businesses also appear prominently. Their registered holdings may represent pension schemes, private clients or other beneficiaries. It would be misleading to classify all such shares as a bank investing its own capital. Underlying beneficiaries and discretionary mandates must be identified before aggregating ownership categories.

Institutions do not all have the same capacity to buy

CBTT reported occupational pension assets of TT$58.6 billion at December 2024, with 28% in equities excluding equity exposures inside unit-linked investments. The same report said aggregate pension contribution and investment income generally exceeded payouts over 2020-24. Of 175 active plans, 52 had ongoing funding deficits totalling about TT$0.6 billion. This is neither universal underfunding nor proof of immediate forced selling. [14]

For long-term insurers, the reported asset base was TT$45.0 billion and debt securities represented 65.1% at end-2024. The aggregate sector is not simply an equity-buying pool. [14]

TTSEC's first-half 2025 bulletin reported TT$67.80 billion in collective investment schemes, of which 83.44% was in fixed-income funds. This helps explain why a large domestic savings industry need not supply a proportionately large bid for listed shares. [15]

There is overlap among these categories: a pension plan can invest through a mutual fund that uses a broker or custodian. Adding every published assets-under-management total would double-count money. Nor does the number of retail accounts measure retail purchasing power.

What remains unknown: the reviewed disclosures do not provide a verified security-level series of gross purchases, gross sales and net purchases by NIBTT, insurers, occupational pension plans, mutual funds, households and foreign investors. Those data, ideally aggregated by TTSE/TTCD and TTSEC without identifying individuals, are needed to answer "who buys most" precisely. Holdings support the conclusion that institutions matter; they do not support an invented majority percentage.

6. NIB: distinguish a benefit gap from forced equity sales

NIBTT administers a statutory social-insurance system. It is different from a private insurer and from an employer's occupational pension trust. Its future benefit promises, contribution rules and investment cash flows require separate analysis.

The latest verified accounts: year ended 30 June 2025

Measure	TT$ million
Net contributions	5,000.760
Benefits expenditure	6,628.037
Benefits less contributions, calculated	1,627.277
Net realised investment income	1,283.521
Deficit of expenditure over income	811.822
Net cash used in operating activities, as reported	716.045
Sale/maturity of investments, as reported	4,220.312
Purchases of investments, as reported	3,375.206
Year-end cash and cash equivalents	2,424.476
Locally quoted equities	7,543.845
Foreign quoted equities	8,021.052
Bonds	5,606.428

Source: [16], financial statements pp. 9-10 and Note 8, p. 34. Amounts converted from TT$ thousands. The cash-flow figures are reported classifications, not a reconstructed estimate of domestic share sales.

The contribution-benefit difference is a **gross funding gap before investment income and administration**. The accounting deficit includes other income, expenses and valuation movements. The operating cash-flow deficit reflects cash-flow adjustments and working capital. An actuarial deficit concerns the present value of future obligations and resources. These four concepts cannot be substituted for one another.

Reported net realised investment income included TT$355.304 million of gains on foreign equity sales. Gains are not the full cash proceeds, and realised income is not synonymous with recurring coupons and dividends. The investment narrative describes using bond maturities to support cash needs. [16]

The market implication is conditional: domestic share sales are necessary only to the extent that contributions, cash investment receipts, usable cash buffers, maturities and other feasible funding sources fail to cover outflows and required reserves. The TT$1.627 billion benefit gap therefore must not be presented as TT$1.627 billion of shares about to hit the TTSE.

Cash and foreign securities provide flexibility; they are not unlimited or automatically available without portfolio consequences. Consuming maturities reduces future interest income. Selling the most liquid overseas assets can leave the remaining portfolio more concentrated in domestic illiquid holdings. A sustainable solution must address the underlying cash balance rather than repeatedly exhausting the easiest assets to sell.

7. The 2026 reforms change the near-term assessment

The combined national-insurance contribution rate increased from 13.2% to **16.2% from 5 January 2026**. The IMF's 2026 analysis records a further announced increase to **19.2% from 4 January 2027** and a planned gradual increase in the full-pension retirement age from 60 to 65 over 2028-36. Future measures must be distinguished from those already effective. [17, 18]

An isolated rate-change illustration

The table holds the FY2025 contribution base and benefits constant and changes only the contribution rate. It is **not a forecast of NIB's 2026 or 2027 accounts**.

Full-year rate assumption	Mechanically scaled contributions, TT$ million	Benefits less contributions, TT$ million
13.2% baseline	5,000.8	1,627.3 deficit
16.2%	6,137.3	490.7 deficit
19.2%	7,273.8	645.8 surplus

Calculation: FY2025 net contributions x assumed rate / 13.2%; subtract from FY2025 benefits. Inputs: [16-18]. Excludes administration and investment income.

The full-year 16.2% uplift in this simplified calculation is about TT$1.137 billion. That overstates precision because it scales arrears and other contributions as if they were all repeatable current earnings. Applying the uplift only to FY2025 contributions from employers in compliance gives approximately TT$1.025 billion. Neither calculation allows for changes in employment, wage classes, compliance, arrears collections, contribution ceilings or benefits.

The NIB financial year ends in June. A January 2026 increase affects only roughly half of FY2026, rather than delivering its full annual effect immediately. Growing pension payments and administrative outflows also mean that a benefit-only surplus is not the same as an overall cash surplus.

The IMF's June 2026 Selected Issues report assesses that the reform package, once implemented, could extend reserve adequacy from the mid-2030s into the mid-2040s. It still identifies long-term imbalance and calls for further reform and publication of the 12th Actuarial Review. This is a conditional projection, not a guarantee and not evidence of the current market value at which NIB could sell its holdings. [18]

Assessment: treating the pre-reform deficit as unchanged indefinitely exaggerates near-term selling pressure. Treating the reforms as a permanent cure understates demographic risk. The next decisive evidence is actual post-reform collections, benefit payments, usable liquidity and the updated actuarial valuation. No verified FY2026 audited NIB accounts or completed public 12th review were obtained for this report.

8. If NIB, insurers and pensions sell, who buys?

In a secondary-market sale, cash comes from the buyer. A broker arranges execution or may take principal risk if it chooses and is permitted to do so. The exchange matches orders and supports market infrastructure; it does not promise to absorb unwanted shares. The issuing company does not ordinarily repay shareholders who want to exit.

Potential buyer	What could attract it	Main constraint during stress
Other pension funds and insurers	Attractive long-term returns, liability matching, capacity to rebalance	Similar exposures, their own cash needs and investment limits
Equity and balanced mutual funds, including UTC-managed funds	New subscriptions and attractive valuations	Redemptions, mandates and limited uncommitted cash
Households and private wealth	Dividends, discounts and long holding horizons	Size of investible savings, confidence and need for liquidity
Regional or international investors	Diversification, compelling valuation or strategic exposure	Currency conversion, repatriation, access, governance and exit risk
Strategic corporate investors	Influence, control or business synergies	Due diligence, funding and applicable approvals
The issuer through a buyback	Attractive return on excess corporate cash	Cash availability, capital needs and applicable rules

These are possible counterparties, not verified commitments or a ranking of today's buyers. Banking-system cash or high household deposits cannot be assumed to turn automatically into equity demand.

What happens when buyers are insufficient?

First, execution slows: orders remain unfilled or sellers accept smaller trades. Next, prices may need to fall to induce investors to buy. If holders refuse to lower asking prices, reported prices can remain stale while turnover dries up. Price discovery can therefore be discontinuous rather than a smooth daily adjustment.

A negotiated block sale may solve a large seller's problem, but its price can differ from the last small exchange trade. A block may also carry strategic value, so the concession cannot be predicted solely from size. Transfers of pension assets to an insurer in kind, where feasible, need not create an immediate cash-market sale; the recipient's subsequent allocation decision matters.

Why simultaneous selling is harder

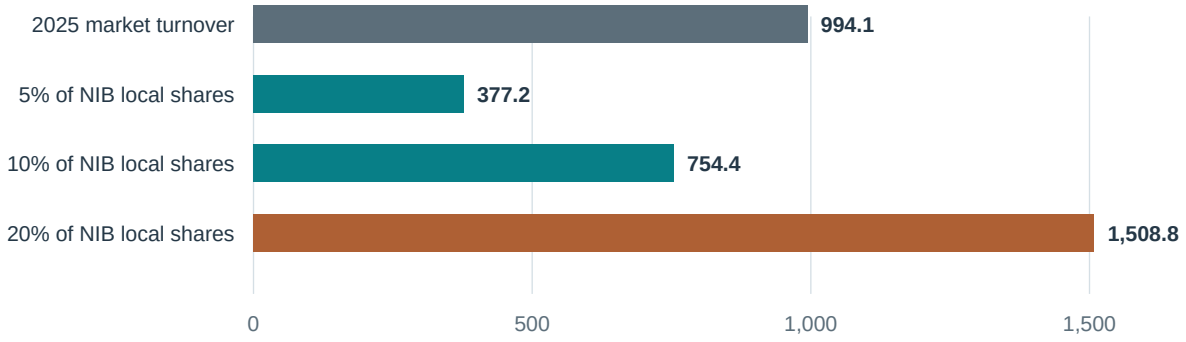
One institution can sell to another without increasing total demand from outside the sector. If both need cash, that internal recycling weakens. Sustainable net absorption then requires fresh savings, cash released from other assets, new investors, issuer purchases or another source of funding.

Every completed sale has a buyer. The liquidity problem is whether enough buyers exist **within the seller's deadline and at prices consistent with its financial needs**. Lower prices can attract capital, but this response is not automatic when buyers worry about further sales, falling dividends or their own ability to exit.

9. Stress test: how large is a modest NIB reallocation?

This is a capacity illustration, not a prediction of NIB's trading intentions or an estimate of price impact. It uses the June 2025 locally quoted equity balance of TT$7,543.845 million and 2025 First Tier ordinary turnover of TT$994.059 million. The dates differ; the purpose is to compare orders of magnitude. [7, 16]

Hypothetical one-off sales versus a year of trading | TT$ million



Assumed sale of local equity portfolio	Amount, TT$ million	Share of annual ordinary turnover	Years at 10% participation	Years at 20% participation
1%	75.4	7.6%	0.76	0.38
5%	377.2	37.9%	3.79	1.90
10%	754.4	75.9%	7.59	3.79
20%	1,508.8	151.8%	15.18	7.59

Formula: sale amount / (annual turnover x assumed participation rate). A 20% participation rate means this seller accounts for one-fifth of transaction value, not that one-fifth is newly available buying demand. Model years use a constant annual trading baseline.

Interpretation: even 5% of NIB's disclosed local equity portfolio is substantial relative to normal turnover. At the illustrative 20% participation rate, it represents about 1.9 years of market activity allocated to that seller. This arithmetic should not be read as a broker's execution estimate.

Sensitivity to a wider trading denominator

Using the broader TT$1.547 billion activity measure, including reported and special-case put-throughs, the 5% sale would take about **1.22 model years**, and the 10% sale **2.44 years**, at 20% participation. Negotiated activity makes a material difference but does not eliminate the scale mismatch. The wider denominator includes other TTD equity/fund markets and transfers that may not be repeatable demand. [7]

This model can overstate capacity if buyers withdraw, turnover falls or holdings concentrate in less active securities. It can understate capacity if a strategic block buyer appears or lower prices attract new money. Using gross market turnover also ignores competing sellers and repeated trading by the same capital.

No defensible percentage price fall can be inferred from these ratios alone. That requires holdings by security, executable bid depth, block-buyer interest, participation limits and urgency. A 20% share-price decline would also mark down retained holdings, but would not mean the institution had realised that entire loss in cash.

10. When would market illiquidity become a crisis?

Market illiquidity is already a vulnerability. A funding crisis is a further event. An institution may own valuable assets but be unable to realise enough cash on time. A systemic crisis requires wider transmission through financial institutions, credit provision, public finances or confidence.

Scenario	Conditions	Likely market effect	Assessment
Orderly adjustment	Reforms improve collections; maturities and cash income meet most needs; sales are paced	Thin trading and occasional blocks; persistent liquidity discount	Plausible; no automatic crisis
Sustained selling pressure	Residual gaps persist; liquid buffers diminish; several holders reduce local equity	Larger discounts, slower exits, weaker portfolio values	Material conditional risk
Disorderly episode	Urgent correlated sales coincide with withdrawals by normal buyers	Unfilled orders, abrupt price falls and feedback into institutional finances	Credible stress case; not established as imminent
Broadening demand	New savings and investors enter; earnings and distributions remain credible	Better absorption and stronger price discovery	Would weaken the adverse thesis

These scenarios are analytical judgments, not assigned probabilities or forecasts.

The transmission into the wider economy

Forced sales can lower valuations of the same securities held by other institutions. Depending on their accounting, funding rules and capital position, those institutions may face additional constraints. Pension sponsors may then need to contribute more, while investors demand higher returns for supplying corporate capital. Lower confidence and retirement wealth can weigh on spending.

The sovereign can amplify the pressure. Attractive government issuance competes for the same institutional savings. If institutions use maturing government bonds for benefit payments instead of reinvesting, the government must find replacement buyers or adjust financing. Conversely, higher rates can lower the measured present value of some pension liabilities. The net funding effect depends on both asset and liability duration; a share-price loss is not a complete pension valuation.

CBTT identified sovereign concentration, interconnectedness and liquidity among financial-system vulnerabilities, while assessing the system as broadly stable in 2024. That combination is consistent with monitoring a vulnerability rather than declaring a present collapse. [14]

The most persuasive counterargument to an imminent equity crisis is the availability of alternative cash sources and a reform-driven improvement in NIB inflows. The strongest argument for continued vigilance is that liquid assets can be used up while domestic equities remain difficult to sell. **A portfolio can become harder to realise even before its total value looks alarming.**

Policy should support sustainable funding and reliable price discovery. Forcing institutions to buy unwanted shares, or treating unchanged prices as success, can conceal rather than resolve the problem. Broader participation, sound disclosure, credible issuer distributions and transparent arrangements for large trades are more durable responses.

11. What to monitor, and the final judgment

Indicator	Why it changes the assessment
NIB contributions after the rate increase	Tests whether reform produces the expected cash improvement. Separate current collections from arrears.
Benefits, expenses and recurring investment receipts	Establish the underlying cash balance without relying on asset-sale gains.
Usable cash and a maturity ladder	Show how long payments can be met before discretionary asset sales are required.
Domestic versus foreign net asset sales	Distinguish local equity pressure from overseas rebalancing or bond maturities.
Trading value and zero-trade days by security	Reveal whether the actual holdings are becoming harder to sell.
Bid depth, spreads and block discounts	Measure executable liquidity, not just closing prices.
Pension cash flows and sponsor contributions	Identify which plans are cash negative rather than treating all as distressed.
Equity-fund subscriptions and redemptions	Test whether likely buyers are receiving or losing cash.
Government issuance and yields	Indicate competition for institutional savings and changing valuation benchmarks.
Updated actuarial results and reform implementation	Test long-term sustainability and the assumptions behind current reserve projections.

An institution-level practical test is a rolling cash forecast: benefits and expenses due over the next 12 months, less contributions, reliable investment cash receipts and maturities, after maintaining an appropriate operating buffer. The remaining need can then be matched to a realistic asset-sale plan. This is more informative than applying a generic percentage haircut to the whole portfolio.

Supervisors and market operators could materially improve public analysis by publishing aggregate buy/sell flows by investor category, order-depth statistics and a clearer separation between ordinary trading, negotiated blocks and transfers. Disclosure should avoid identifying individual retail investors or advertising an institution's pending orders.

Final judgment

A prolonged weak stock market is both a possible symptom of economic problems and a potential amplifier of them. It does not establish that the economy is uniformly deteriorating, and it does not imply that company performance is irrelevant.

For Trinidad, the evidence supports a significant mismatch between institutional holdings and market trading depth. If NIBTT or several large funds had to liquidate domestic equities quickly, substantial price concessions or very slow execution would be credible outcomes. The identity of the eventual buyer depends on price, available cash, investment mandates and confidence, rather than on a standing obligation to support the market.

The evidence does **not** establish that insurers and pensions currently account for most buying, that all such institutions have cash deficits, or that NIB's pre-reform contribution gap must be funded by local share sales. The 2026 reforms materially improve the near-term assessment, while demographic pressure and market concentration remain.

The appropriate conclusion is a structural liquidity vulnerability with a conditional forced-selling risk. An imminent systemic crisis is not demonstrated by the public evidence reviewed.

Sources, methods and verification

Evidence boundaries

The report uses public research, official statistics, issuer disclosures and annual accounts. No private portfolio records or unpublished orders were available. Research was completed on 22 September 2026; the latest verified daily market observation is dated 21 September. Later information can change the assessment.

Ownership snapshots are not transaction-flow data. A registered nominee is not necessarily the beneficial investor. Assets managed, held in custody and invested through funds may overlap. Sector totals must not be added to estimate a unique pool of buying power. Institutional financial years and calendar market years also differ.

A published market value is not an executable liquidation value. No security-level sale schedule or market-impact coefficient has been estimated. Historical gross turnover is a scale comparison, not a quantity of cash reserved for a new seller. The stress results hold turnover constant and ignore endogenous price and volume responses.

Calculation conventions

Calculation	Definition
Index return	Ending price index / beginning price index - 1; excludes dividends.
Simple traded-value ratio	TT$994.059m / TT$91,870m = approximately 1.08%. Uses rounded year-end capitalisation.
Mean daily ordinary turnover	TT$994.059m / 245 trading sessions = approximately TT$4.057m.
Broader activity sensitivity	TT$998.046m + TT$313.538m + TT$235.470m = TT$1,547.054m.
Hypothetical domestic equity sale	TT$7,543.845m x assumed fraction sold.
Model liquidation time	Hypothetical sale / (annual trading value x participation rate).
Isolated contribution reform	FY2025 net contributions x new rate / 13.2%; static base, not a cash forecast.

The NIB scanned statements were checked against the source page images for the key income, cash-flow and investment figures. The publication preserves the cash-flow statement's reported classifications. It does not infer gross equity-sale proceeds from gains or treat the annual investment sale/maturity total as domestic stock transactions.

References: research and macroeconomic context

[1] Hsu, J., Ritter, J., Wool, P. and Zhao, H. (2022), *What Matters More for Emerging Markets Investors: Economic Growth or EPS Growth?* Author manuscript, especially Exhibit 3 and its notes. Read the research paper.

[2] Beck, T. and Levine, R. (2002), *Stock Markets, Banks, and Growth: Panel Evidence*, NBER Working Paper 9082. Historical panel evidence, not a Trinidad-specific causal estimate. Read the paper overview.

[3] Levine, R. (2002), *Bank-Based or Market-Based Financial Systems: Which Is Better?*, NBER Working Paper 9138. Read the paper overview.

[4] Morck, R., Yeung, B. and Yu, W. (2000), *The Information Content of Stock Markets: Why Do Emerging Markets Have Synchronous Stock Price Movements?*, Journal of Financial Economics 58, 215-260. Publisher abstract and paper details.

References: Trinidad and Tobago evidence

[5] Republic Bank / RFHL (10-11 November 2025), *RFHL records $2.2 billion in End of Year profits*. FY2025 profit and dividend announcement. Issuer release.

[6] Ministry of Finance, *Secondary Market Activities*, Appendix 21, source CBTT. Historical First Tier values and Composite index observations. Official statistical table.

[7] Trinidad and Tobago Stock Exchange, *Annual Report 2025*, pp. 5, 25-27 and 31, Tables 1, 2 and 8 and footnotes. Trading values, capitalisation, concentration and put-through definitions. PDF downloaded and extracted directly; the file is large. Official annual report.

[8] TTSE, *Daily Values and Index Summary*, observation dated 21 September 2026. Dynamic page; the observation date, not a future reading of the page, governs the figures in this report. Exchange daily summary.

[9] Central Statistical Office, *National Accounts Statistics*, latest-release notice dated 29 July 2026: annual real GDP for 2025. Official national accounts.

[10] IMF (18 May 2026), *Executive Board Concludes 2026 Article IV Consultation with Trinidad and Tobago*. Earlier 2025 GDP estimate, used only to explain the source-vintage difference. IMF release.

[11] TTSE, *Market Movement Report: December 2025*, p. 3. Float-adjusted share turnover, spreads and methodological footnotes. Exchange market report.

[12] Massy Holdings, *Corporate Governance: Top Ten Shareholders*, dated 30 June 2026. Issuer ownership disclosure. The FY2025 annual report also records 396,021,020 NIBTT shares separately from Barbados NIB's holding.

[13] Republic Financial Holdings, *Annual Report 2025*, Directors' Report, printed p. 25: ten largest shareholders at 30 September 2025. Issuer annual report.

[14] Central Bank of Trinidad and Tobago, *Financial Stability Report 2024*, published September 2025; especially pp. 52 and 59-63, and the overview. Financial-sector data largely at December 2024. Central Bank report.

[15] TTSEC, *Securities Market Bulletin, Issue 14*, covering the first half of 2025, pp. 8-10. Provisional CIS statistics. Regulator bulletin.

[16] NIBTT, *Report on Operations and Audited Financial Statements for the year ended 30 June 2025*, filed with Parliament in 2026. Operations pp. 8-12; financial statements pp. 9-10, 34 and 43. Parliament-hosted report.

[17] NIBTT, *Earnings Classes and Contributions from 5 January 2026*. Confirms the effective 16.2% rate. Official contribution schedule.

[18] IMF, *Trinidad and Tobago: Selected Issues*, Country Report 26/121, June 2026, chapter *Public Retirement Benefits System: Features and Reform Options*, pp. 28-38. Reform timing, conditional reserve projections and remaining sustainability issues. IMF report.

All currency amounts are Trinidad and Tobago dollars unless stated otherwise. Conclusions and scenarios are the report's analysis; they are not statements of intent by NIBTT, the Central Bank, TTSEC or any other institution.